

Japanese domestic money supply and bank lending, but speculation already was out of control. Even after the Bank of Japan started to tighten its monetary grip, bond market prices continued to soar. As a consequence, the yield on the bellwether Coupon #89 bond issue fell to a historic low: 2.6 per cent in May before the bond market crashed.

The September 1987 collapse of the Japanese bond market was the first in a sequence of events that will enter the annals of history as the crash of 1987. Investors speculated heavily in September bond futures, but they could not liquidate their positions. Hedging against these losses led to a collapse of prices for December futures. The yield on the Coupon #89 issue climbed above 6 per cent before the bond market bottomed out. It appeared at first that the collapse would carry into the stock market, which was even more overvalued than the bond market. But, in fact, speculative money moved from bonds to stocks in a vain attempt to recoup the losses. As a result, the Japanese stock market reached minor new highs in October.

The consequences for the rest of the world were more grievous. The government bond market in the United States had grown dependent on Japanese buying. When the Japanese began to sell U.S. government bonds, even in relatively small quantities, the bond market suffered a sinking spell that went beyond any change justified by economic fundamentals. Undoubtedly the U.S. economy was stronger than had been expected, but the strength came in industrial production rather than in consumer demand. Commodity prices were rising, encouraging inventory accumulation and raising inflationary expectations. The fear of inflation was more a rationalization for the decline in bonds than its root cause. Nevertheless, it served to reinforce the bond market's fall.

The weakness in bonds widened the disparity between bond and stock prices that had been developing since the end of 1986. Such a disparity can persist indefinitely, as it did in the 1960s, but as it widens it creates the preconditions for an eventual reversal. The actual timing of the reversal